

Finite-Term IP Rights as an Institutional Investment Thesis: Evidence, Pricing, and the Central Test

Institutional research. Not investment advice.

25 September 2026

This paper is institutional research. It is not investment advice, makes no securities or trade recommendation, predicts no returns, and guarantees none. Legal discussion is legal information, not legal advice.

Abstract

This paper tests whether a scalable institutional investment thesis exists around acquiring or financing finite-term (5–10 year) economic and commercialization rights in music IP, and whether the economics generalize to other royalty-producing assets. The thesis, as stated: underwrite 8–12% asset-level cash yields plus 5–10 percentage points of active commercialization uplift to earn 18–25% gross IRRs, without viral outcomes, aggressive leverage, or speculative terminal values. The paper assembles the evidence first: 50 sourced transactions, listed-fund realized returns, royalty decay and survivorship data, documented operating alpha, comparable structures, cross-asset evidence, legal feasibility across six jurisdictions, and failure cases. A deterministic cash-flow model (245 scenarios) then runs the central test. The conclusion is a single outcome of a three-outcome design: the evidence does not support the stated thesis, and the narrower disciplined-pricing variant does not survive either. The thesis is rejected.

Contents

1	Introduction	4
1.1	The question	4
1.2	The thesis as stated	4
1.3	Three-outcome design	4
1.4	Method and the fact–assumption–estimate convention	4
1.5	Scope	5

2	Market pricing and realized returns	6
2.1	Pricing: a decade of multiple expansion	6
2.2	Realized returns: the two listed funds	6
2.3	Securitization: the cleanest institutional record	7
2.4	Evidence table: market pricing and realized returns	7
3	Royalty decay and survivorship	8
3.1	Observed decay rates	8
3.2	Survivorship	9
3.3	Volatility is distinct from decay	9
3.4	The underwriting arithmetic	10
3.5	Evidence table: decay and survivorship	10
4	Operating alpha	11
4.1	The largest documented uplift: about 3pp, one year	11
4.2	Levers ranked by evidence quality	11
4.3	The verdict on 5–10pp, and the disconfirming evidence	13
4.4	Evidence table: operating alpha	13
5	Comparable structures and the ANote analogue	14
5.1	The cleanest institutional record: securitization	14
5.2	The ANote Music analogue	15
5.3	The hurdle arithmetic	15
5.4	Evidence table: comparable structures	16
6	Generalization across asset classes	17
6.1	Where the evidence supports generalization	17
6.2	Where the evidence does not support generalization	17
6.3	The cross-class pattern	18
6.4	Evidence table: cross-asset generalization	18
7	Legal and structural feasibility	19
7.1	Jurisdiction verdicts	19
7.2	Principal return-destroying risks	19
7.3	Evidence table: legal and structural	20
8	Failure cases	21
8.1	Quantified losses	21
8.2	Dominant failure modes	22
8.3	Adverse selection: evidence and the gap	23

8.4	Evidence table: failure cases	23
9	Financial model, backtests, and the central test	24
9.1	Structure modeled	24
9.2	The central test: does 8–12% yield + 5–10pp uplift reach 18–25%?	25
9.3	Backtests	26
9.4	Sensitivities	27
9.5	Limitations	28
9.6	Evidence table: the central test	28
10	Conclusion	29
10.1	Outcome: reject	29
10.2	What would change this verdict	30

1 Introduction

1.1 The question

Music catalogues, film and television libraries, creator-content libraries, and patent portfolios all generate royalty-like income. Most institutional capital has bought that income in perpetuity. The question this paper asks is whether the income can instead be bought for a finite term, 5–10 years, at terms that make a scalable investment vehicle work. The vehicle acquires 100% of the economic rights for the term; rights revert to the creator at term end; terminal value is zero.

1.2 The thesis as stated

The thesis under test is a precise quantitative claim, not a direction of travel:

An institutional vehicle underwrites finite-term (5–10 year) music IP rights at 8–12% asset-level cash yields, adds 5–10 percentage points of revenue uplift through active commercialization (sync, licensing, collection, marketing), and earns 18–25% gross IRRs *without* viral outcomes, aggressive leverage, or speculative terminal values.

The no-viral, no-leverage, no-terminal-value conditions are load-bearing. A 5–10 year right that needs a breakout placement to make its return is a lottery ticket; a structure that needs debt is a financing arbitrage; a structure that needs an exit multiple is a speculation. The thesis claims the term economics work on their own.

1.3 Three-outcome design

The paper is constructed to return exactly one of three outcomes:

1. **Support:** the evidence supports the thesis as stated.
2. **Narrower thesis:** the evidence supports only a materially narrower variant (for example, disciplined sub-7x pricing in film and television or creator libraries at 10-year terms, targeting high-single-digit net returns).
3. **Reject:** the evidence does not support the thesis.

The design is asymmetric on purpose. Sections 2–8 assemble disconfirming evidence before the model runs, so that the central test in Section 9 cannot cherry-pick its inputs. The conclusion follows the data.

1.4 Method and the fact–assumption–estimate convention

Every section separates three classes of statement, tagged in the evidence tables:

- **[F] Fact observed:** reported in a sourced evidence file in the project corpus. Facts carry citations to those files; the files carry primary sources and caveats.

- **[A] Assumption:** an input or design choice not evidenced by the research. Assumptions are labeled, never implied.
- **[E] Estimate:** arithmetic derived from observed inputs (such as an IRR from the deterministic model), or an approximation explicitly labeled as such. Estimates are reproducible from stated inputs.

Model tables in Section 9 are machine-generated from the result CSVs of a deterministic cash-flow model; they are not hand-typed. The audit record (claim index, verification script, and audit memo in the paper directory) verifies every material quantitative claim against its source.

1.5 Scope

The paper covers music transactions and fund economics, royalty decay and survivorship, operating alpha, comparable structures, other asset classes, legal and structural feasibility in six jurisdictions, failure cases, and the financial model with historical backtests. It does not cover tax structuring, fund formation mechanics, or portfolio construction beyond what the evidence supports.

2 Market pricing and realized returns

The market this thesis must buy into is the music catalogue market of the last decade. Its pricing history sets the entry-multiple constraint; its realized returns set the performance record against which any new structure must be measured.

2.1 Pricing: a decade of multiple expansion

Catalogue multiples expanded from 8.6x in 2011 to 20.7x in 2021 [F], a 2.4x expansion over ten years, with streaming estimated to account for 61.5% of the 2021 multiple [F] [?]. Publishing multiples averaged 16.4x net publisher’s share (NPS) over 2014–2022, exceeded 18x in 2018–2020, and peaked at 20.1x in 2019 [F] [?]. Recorded-music rights trade on a different basis and below publishing: 10.4x vs 18.8x in 2020, and 12.4x vs 16.7x in 2022, on a net label share (NLS) basis that must not be averaged with NPS [F] [?].

Deal prices for headline catalogues are almost all reported estimates, not disclosed prices [F]: Dylan at \$300M, Springsteen at \$500–550M, Bowie at about \$250M, Queen at about \$1.27B [F] [?]. Officially disclosed prices are the exception: the two listed-fund takeovers, Round Hill’s \$282M Fund One purchase at 16.3x NPS, and securitization issuance sizes [F] [?]. At least \$5.05B was spent on catalogue acquisitions in 2021 [F]; one estimate puts \$5.3B across 131 deals, up 180% from 2020 [F] [?], built largely from reported estimates and therefore an estimate of an estimate [E].

Two cautions matter for underwriting. First, the catalogue boom was a *perpetuity* market: buyers paid 14–25x annual royalties for rights that never expire. Second, rights bundles are not comparable. “Catalogue sale” covers at least six different bundles, from 100% publishing including the songwriter share to recorded-music only to producer royalties, sometimes with name-image-likeness rights attached; prices and multiples from different bundles cannot be compared without adjustment [F] [?].

2.2 Realized returns: the two listed funds

The cleanest before-and-after data come from the two listed pure-play funds.

Hipgnosis Songs Fund (IPO July 2018 at £1.00) deployed over \$2B across 146 catalogues and more than 65,000 songs [F] [?]. An IPO investor who held to the Blackstone takeover received \$1.31 per share in cash plus about 31 US cents of dividends, roughly +23% over six years in USD terms, or about 3.5% per year [E] [?]; measured in pence terms, about 127.9p on 100p, roughly 4.2% annualized [E] [?]. The company’s stated 69.0% total NAV return since IPO is a NAV measure, not a shareholder measure: the shares spent most of 2023–24 at 55–70p, and the final sale was far below the \$1.74 NAV reported six months before the \$1.17 Shot Tower NAV [F] [?].

Round Hill Music Royalty Fund (IPO November 2020 at \$1.00) raised \$411.4M, bought at 16.2–16.3x NPS, and was sold to Concord in 2023 at \$1.15 per share, an 11.5% discount to economic NAV [F] [?]. Total return including 11.75 cents of lifetime dividends was about 26.8% over three years, approximately 8.4% annualized, below its 9–11% per annum target [E] [?].

Both funds were taken private below their last reported NAVs, and both sales were driven

by persistent share-price discounts to NAV [F] [?]. Buyers did not pay for the claimed active-management premium.

2.3 Securitization: the cleanest institutional record

Music royalty ABS has scaled far beyond the \$55M Bowie Bonds of 1997 [F] [?]. Concord issued \$1.8B in December 2022 against a KBRA DCF collateral value of \$4.1B (about 44% LTV) and \$850M in October 2024 [F] [?]; its July 2025 issue was \$1.765B across 5-, 7-, and 10-year notes rated A+ by KBRA and A2 by Moody's, secured by a catalogue valued above \$5.1B (about 35% LTV), more than three times oversubscribed [F] [?]. Spreads compressed from +340bp on the 2022 notes to +185bp on the 2024 notes [F] [?]. No music ABS has defaulted in the modern era; the Bowie Bonds were downgraded from A3 to Baa3 in 2004 on recorded-music decline but paid in full at maturity, with rights reverting to Bowie [F] [?].

Securitization is financing, not evidence of low decay [F] [?]. Its pricing requires diversification and scale no single-catalogue vehicle can offer.

2.4 Evidence table: market pricing and realized returns

The market record carries the first disconfirming evidence. Entry multiples of 13.9–18.3x NPS at the peak [F] [?]; realized shareholder returns of 3.5–8.4% per year on perpetuity rights that keep all post-term value; and two-thirds of acquired catalogues worth less than their purchase price by the board's own valuer. A finite-term buyer pays a large multiple for a right that, unlike these, expires.

Table 1: Key observed facts on music IP pricing and realized returns.

#	Statement	Tag
P1	Catalogue multiples 8.6x (2011) to 20.7x (2021); streaming $\sim 61.5\%$ of the 2021 multiple	[F]
P2	Publishing averaged 16.4x NPS (2014–2022), peaked 20.1x (2019); recorded 10.4x/12.4x NLS (2020/2022), bases not comparable	[F]
P3	Most headline deal prices are reported estimates, not disclosed prices	[F]
P4	Hipgnosis realized $\sim 3.5\%/yr$ (USD) / $\sim 4.2\%/yr$ (pence) from IPO to takeover; company-stated NAV return 69.0%	[F/E]
P5	Round Hill realized $\sim 8.4\%/yr$ vs 9–11% target; sold at 11.5% discount to NAV	[F/E]
P6	Both listed funds taken private below NAV; buyers did not pay for the active-management premium	[F]
P7	Shot Tower review: 75% of Hipgnosis catalogues missed growth forecasts by avg 23%; 67 of 105 deals worth less than price	[F]
P8	Hipgnosis writedown \$2.62B to \$1.93B ($\sim \$690M$), March 2024	[F]
P9	Concord 2025 ABS: \$1.765B, A+/A2, 35% LTV, $>3x$ oversubscribed, +185bp (vs +340bp in 2022); no modern-era music ABS default	[F]
P10	Bowie Bonds: \$55M, 7.9%, 10yr; downgraded A3 to Baa3 (2004); paid in full at maturity	[F]

Sources:

research/music-transactions/findings.md\par, fund-economics.md,
research/royalty-decay/findings.md, research/failure-cases/findings.md,
research/comparable-structures/findings.md.

3 Royalty decay and survivorship

A finite-term right lives or dies on the revenue path inside its term. There is no post-term tail to absorb an overpayment. This section covers what is known about decay, what is known about selection, and the arithmetic that connects entry multiple to recovery.

3.1 Observed decay rates

The only published decay estimate resembling a rate for mature music originals comes from the US Bureau of Economic Analysis (Soloveichik, BEA WP 2013-8): about 50% depreciation in year 1, then about 4% per year over the full lifecycle [F] [?]. Two caveats are material. It was estimated on new originals over their full lifecycle in the physical era, not on acquired mature catalogues in the streaming era [F] [?]. And the BEA’s simplified national-accounts rate (26.7% per year geometric) is an accounting convention, not an observed trajectory [F] [?].

The fund-level series show no net revenue decay during 2021–2023, which weakens rather

than strengthens the case for flat underwriting. Hipgnosis pro-forma annual revenue (PFAR) grew 12.1% year-on-year in 2022 (\$116.2M to \$130.2M); the over-10-year vintage grew 11.3% and the under-10-year vintage 13.0% [F] [?]. Round Hill’s initial investments grew about 15% like-for-like in 2022 [F] [?]. Three forces explain this, none of them decay underwriting inputs: streaming market growth through the period, performance income recovering from Covid lows, and the CRB Phonorecords III decision lifting the US streaming mechanical rate from 10.5% to 15.1% retroactive to 2018 [F] [?]. Hipgnosis booked a \$5.6M accrual on that decision in FY23 alone [F] [?]. These are one-off tailwinds; they do not compound indefinitely.

The distinction between overpayment and decay matters. Shot Tower’s review of Hipgnosis found 75% of catalogues missed growth forecasts by an average of 23% annually, and 67 of 105 deals were worth less than purchase price [F] [?]. That is evidence of overpayment and over-forecasting, not of revenue decay: a catalogue can grow 5% a year, miss a 30% forecast every year, and still not decay [F] [?].

3.2 Survivorship

Everything traded is drawn from the right tail. Hipgnosis built its portfolio from proven hits, reporting interests in nearly 25% of Spotify’s Billion Club [F] [?]. Round Hill’s strategy was explicitly “evergreen,” and one asset (the Offspring) represented about 25% of total 2021 NPS [F] [?], so aggregate stability can reflect one winner. Across the full market, concentration is extreme: 93.2M of 202M tracked tracks got no more than 10 streams in 2024; only 33 tracks exceeded 1 billion [F] [?]. On Spotify, 2.3% of 12M uploaders earned over \$1,000 in 2024, and about 1,450 artists earned over \$1M [F] [?].

Transaction-level dispersion is wide. The Stoikov et al. 10-year asset sample on Royalty Exchange shows a median 5-year total return of 42.5%, but the 10th percentile returned –59.9% and the 90th percentile +155.1% [F] [?]. Year-by-year median returns in that sample were 8.1%, 2.0%, 5.0%, –7.1%, 9.5% over the 2017–2022 backtest [F] [?]. A smooth decay curve fitted to fund-level revenue understates income risk; title-level dispersion is the relevant input for a single finite-term right.

The verdict on survivorship is that the selection problem is documented across all four mechanisms above, but the unconditional survivorship rate is unidentified [F] [?]. No source supplies complete acquired-catalogue revenue histories by acquisition vintage, including failed or unsold assets. Fund-level growth rates must not be read as the expected decay of an unselected catalogue.

3.3 Volatility is distinct from decay

Fund-level figures conflate title decay, market movements, and accounting. Hipgnosis IFRS net revenue fell 12.5% (\$168.3M to \$147.2M) in FY23 while management’s adjusted PFAR rose 10.9%; the difference is non-recurring items, accrual timing, and excluded CRB III income [F] [?]. Cash net revenue for the 12 months to June 2023 was \$121.7M [F] [?]. The fund disclosed that a 1pp rise in the discount rate cuts portfolio valuation by about 14.4% [F] [?]; mark-to-market moves dominate year-to-year value changes even when cash flow is stable. Inside the 2022 income mix, synchronization rose 24.7% while downloads fell 30.4%, and performance rose 9.0% with +41% in H2 as Covid recovery

Table 2: Fraction of purchase price recovered in cash (nominal, undiscounted) for a finite-term right with zero terminal value. Price = M times year-1 cash flow; cash grows at constant nominal rate g .

Multiple	Term	$g = +5\%$	$g = +2\%$	$g = 0\%$	$g = -2\%$	$g = -4\%$	$g = -10\%$	
12x	5yr	48.3%	44.2%	41.7%	39.2%	36.9%	30.7%	
12x	10yr	110.1%	93.1%	83.3%	74.7%	67.0%	48.8%	
15x	5yr	38.7%	35.4%	33.3%	31.4%	29.5%	24.6%	
15x	10yr	88.0%	74.5%	66.7%	59.8%	53.6%	39.1%	Source:
16x	5yr	36.3%	33.2%	31.2%	29.4%	27.7%	23.0%	
16x	10yr	82.5%	69.8%	62.5%	56.0%	50.3%	36.6%	
20x	5yr	29.0%	26.5%	25.0%	23.5%	22.2%	18.4%	
20x	10yr	66.0%	55.8%	50.0%	44.8%	40.2%	29.3%	

arithmetic verified against `research/royalty-decay/findings.md` §4; this table is recomputed by `paper/gen_decay_tables.py`. Excludes discounting, fees, taxes, collection lags, and volatility; adding any worsens recovery.

Table 3: Constant nominal annual growth g needed to recover the full purchase price in cash over the term (breakeven, nominal, undiscounted).

Term	12x	15x	16x	20x	
10 years	3.3%	7.3%	8.4%	12.3%	Recomputed from the same convention as Table 2;
5 years	30.8%	39.2%	41.7%	50.4%	

values match `research/royalty-decay/findings.md` §4.

flowed through [F] [?].

3.4 The underwriting arithmetic

Tables 2–4 give the arithmetic that every finite-term underwriting must clear. At the multiples actually paid (15–16x), a 10-year finite-term right with flat cash flows recovers about two-thirds of its price in nominal cash and earns a negative IRR without a terminal value. A 16x buyer needs roughly 8.4% constant annual growth to recover the full price in 10 years [E]. The only published mature-original decay estimate (about 4%/yr) leaves a 16x buyer recovering about half the price over 10 years [E]. The gap between these requirements and the observed 2021–2023 growth (+11 to +14%) was filled by the one-off factors above.

The 5-year term is arithmetically closed to the thesis: recovering a 16x price in 5 years requires 41.7% annual growth [E]; even a 12x price needs 30.8% [E]. These tables exclude discounting, fees, taxes, collection lags, and volatility; adding any of them worsens recovery [E].

3.5 Evidence table: decay and survivorship

Table 4: Illustrative project IRR over a 10-year term, zero terminal value, no fees or discounting. Same convention as Tables 2–3. The model’s central test (Table 11) adds the documented +3pp uplift, acquisition costs, and 5% opex.

Entry multiple	$g = 0\%$	$g = +2\%$	$g = -4\%$	
12x	-3.2%	-1.2%	-7.1%	Recomputed; values match
15x	-6.8%	-4.9%	-10.5%	
16x	-7.7%	-5.9%	-11.4%	
20x	-11.0%	-9.2%	-14.5%	

research/royalty-decay/findings.md §4.

4 Operating alpha

The thesis requires 5–10 percentage points of revenue uplift from active commercialization, sustained and repeatable, caused by the investor’s management rather than by the market. The evidence does not support it.

4.1 The largest documented uplift: about 3pp, one year

The largest management-attributable uplift found in audited-adjacent disclosures is Hipgnosis’s 2022 sync performance: synchronization income rose 24.7% year-on-year to \$19.4M on the fund’s attribution to its adviser’s pitching and placement activity [F] [?]. Sync was 14.9% of the fund’s \$130.2M PFAR, so the incremental sync growth contributed about 3.0 percentage points to total revenue in that one year [F] [?].

Larger like-for-like growth figures exist but cannot be read as management alpha. Round Hill reported +15% like-for-like NPS/NLS growth in FY2022 and +20% in Q1 2023; Hipgnosis reported PFAR +12.1% in 2022; Reservoir Media reported +8%, +14%, +7% organic growth in FY2023–2025 [F] [?]. These bundle streaming market growth, post-Covid recovery, acquisition timing, and regulatory rate changes. In the one year Hipgnosis disclosed a regulatory breakdown, \$16.1M of its “best revenue performance” came from the CRB III retroactive royalty-rate accrual, a regulatory windfall, not commercialization [F] [?].

4.2 Levers ranked by evidence quality

Sync licensing has the best evidence: Hipgnosis +24.7% (2022), +32% (H1 2022); Round Hill +52% (H1 2023) [F] [?]. But sync is a small revenue share: IFPI puts global recorded sync at \$650M in 2024, 2.2% of recorded revenue [F] [?]. Even a 30% sync outperformance moves total revenue by low single-digit percentage points [E].

Rights administration and improved collection has moderate evidence, mostly claims. One quantified catch-up case: Round Hill’s Carlin interest income rose \$1.0M (+200%) in Q1 2023 on improved collection of uncollected digital income, roughly 3% of its annual revenue base, described as catch-up of previously uncollected income [F] [?]. Kobalt’s claim of 20–30% more money 2–3 years faster, and SONGS’s 40% claim, are unaudited marketing claims with no independent verification found [F] [?]. The MLC’s \$424.4M historical black-box transfer quantifies the one-time unclaimed-royalty stock; about \$317M was

Table 5: Key observed facts on royalty decay and survivorship.

#	Statement	Tag	
D1	BEA: $\sim 50\%$ depreciation year 1, then $\sim 4\%/yr$; estimated on physical-era new originals, not streaming-era acquired catalogues	[F]	
D2	Fund-level 2021–2023 growth (+11 to +14%) driven by one-off tailwinds: streaming market growth, Covid performance recovery, CRB III 10.5% to 15.1% retroactive rate	[F]	
D3	75% of Hipgnosis catalogues missed forecasts by avg 23%/yr; evidence of overpayment, not decay	[F]	
D4	Selection documented (Billion Club sourcing; Offspring $\sim 25\%$ of RHM 2021 NPS); unconditional survivorship rate unidentified	[F]	Source:
D5	Luminate: 93.2M of 202M tracks ≤ 10 streams in 2024; 33 tracks $> 1B$ streams	[F]	
D6	Spotify: 2.3% of 12M uploaders earned $> \$1,000$ in 2024; $\sim 1,450$ artists $> \$1M$	[F]	
D7	Royalty Exchange 10-yr assets: median 5-yr total return 42.5%; 10th pct -59.9% ; 90th pct $+155.1\%$	[F]	
D8	1pp rise in discount rate cuts portfolio valuation by $\sim 14.4\%$	[F]	
D9	16x 10-yr breakeven growth $\sim 8.4\%/yr$; 16x 10-yr flat recovers 62.5%; 16x 5-yr flat recovers 31.2%	[E]	
research/royalty-decay/findings.md\par, decay-data.csv.			

matched and \$228M distributed as of late 2025 [F] [?]. This is a finite pool, not recurring alpha.

Streaming and catalogue marketing has weak evidence for investor-caused uplift. Large measured effects exist, but all are platform- or producer- controlled: Kate Bush’s “Running Up That Hill” saw a 16,867% streaming increase after its Stranger Things placement [F] [?]; Fleetwood Mac’s “Dreams” streams rose 89% after a viral TikTok [F] [?]; a Spotify Today’s Top Hits placement adds about 20M streams (Aguiar & Waldfogel, NBER) [F] [?]. No audited case was found of an investor-run marketing campaign producing a measured streaming uplift [F] [?]. An investor cannot manufacture these events, and they do not repeat on demand.

Reissues have one strong historical case, not investor-driven: the 2009 Beatles remasters sold 2.25M+ CDs in five days and 626,000 US units in the first week [F] [?], bounding the lever’s upside for the most famous catalogue in history. No investor-driven reissue case with measured revenue was found [F] [?].

Derivative works: ABBA Voyage generated £103.7M turnover and £6.1M pre-tax profit in 2023, but required roughly £140M of build cost for a 5.9% pre-tax margin [F] [?]. Returns accrue to the venture; no quantified uplift to the underlying catalogue royalty stream was disclosed [F] [?]. *Brand partnerships and merchandising*: no quantified cases found [F] [?].

4.3 The verdict on 5–10pp, and the disconfirming evidence

The operating-alpha research rejects 5–10pp as a sustainable, repeatable, management-caused increment [F] [?]. The best documented single-year management-attributable contribution is about 3pp [F]. Two structural facts work against the assumption: sync, the best-evidenced lever, is a small share; and royalty decay offsets gains. Hipgnosis reported 2022 masters income growth of 3.3% as “subdued” [F] [?], attributing the drag to natural decay in younger catalogues. Under finite 5–10 year rights, decay compounds while one-off recoveries (black box, admin migration) are front-loaded [E].

The disconfirming record is direct:

- Hipgnosis PFAR fell 5.3% in full calendar 2021 (\$114.9M vs \$121.26M) while the fund was under active Song Management [F] [?].
- In December 2023 Hipgnosis cut its valuation 9.2%, reported gross revenue down 26.9% and net revenue down 29.7% (about half from an \$11.9M reversal of accrued royalties), suspended its dividend, and its chair cited “ongoing failures in the financial reporting and control process” [F] [?].
- Shot Tower found about 65% of Hipgnosis’s income came from passive streams, with control rights still held by third parties on parts of the portfolio [F] [?].
- Both listed pure-play funds were taken private below stated NAV [F] [?]. Buyers did not pay for the claimed active-management premium.

4.4 Evidence table: operating alpha

Table 6: Key observed facts on operating alpha.

#	Statement	Tag	
O1	Best documented management-attributable uplift: sync +24.7% to \$19.4M = $\sim$ +3.0pp of total revenue, one year (Hipgnosis 2022)	[F]	
O2	Verdict: 5–10pp unsupported as sustainable, repeatable, management-caused	[F]	
O3	Sync = 2.2% of recorded revenue (IFPI, \$650M in 2024); lever capped near 3pp of total	[F/E]	
O4	Collection catch-up: Round Hill Carlin +\$1.0M (+200%), one-time; MLC black box \$424.4M, finite pool	[F]	
O5	Kobalt 20–30% / SONGS 40% claims: unaudited marketing, no independent verification	[F]	Sources:
O6	Viral spikes real but not investor-caused: Kate Bush +16,867%; Fleetwood Mac +89%	[F]	
O7	Beatles 2009 remasters: 2.25M+ CDs in 5 days (upper bound of reissue lever, label-driven)	[F]	
O8	ABBA Voyage: £103.7M turnover, £6.1M pre-tax, $\sim$ £140M build cost; no quantified catalogue royalty uplift	[F]	
O9	Hipgnosis PFAR fell 5.3% in 2021 under active management	[F]	
O10	65% of Hipgnosis income from passive streams (Shot Tower); control rights held by third parties	[F]	
research/operating-alpha/findings.md\par, uplift-evidence.csv, research/failure-cases/findings.md.			

5 Comparable structures and the ANote analogue

Before testing the thesis, this section asks what already exists and what hurdle a finite-term vehicle must clear. Seven structures were compared [?]: permanent catalogue acquisition, royalty-backed lending, label and publisher advances, revenue-based creator financing, securitization, conventional licensing, and finite-term participation (ANote Music).

5.1 The cleanest institutional record: securitization

For the capital provider, the best-documented risk-adjusted economics are investment-grade music-royalty ABS, as executed by Concord: four securitizations, the July 2025 issue \$1.765B across 5-, 7-, and 10-year senior notes rated A+ by KBRA and A2 by Moody’s, secured by a catalogue valued above \$5.1B (about 35% LTV), more than three times oversubscribed, with spreads compressing from +340bp (2022) to +185bp (2024) [F] [?]. No music ABS has defaulted in the modern era [F] [?]. The Royalty Pharma analogue is direct: a \$20B+ pharma royalty market, \$2B of investment-grade bonds issued in September 2025 (Baa2), and a March 2026 \$250M non-recourse royalty-backed note to Zymeworks, repaid from 30% of worldwide royalties on one drug until repaid, with

full royalty rights reverting to Zymeworks afterward [F] [?]. Bilateral pharma royalty transactions typically target 12–18% unlevered IRRs [F] [?].

A finite-term music vehicle cannot match ABS pricing: that pricing requires diversification and scale no single-catalogue vehicle can offer [F] [?].

5.2 The ANote Music analogue

The closest operating analogue to the thesis is ANote Music (Luxembourg): rightsholders list a share of future royalty flows on an auction platform and may sell the share outright or for a limited number of years, with rights reverting to the seller when a limited term expires [F] [?]. The platform reports catalogues “typically priced to offer royalty returns in the range of 6% to 16% per year” and a gross average investor IRR of approximately 10% across 2020–2025 [F] [?]. A worked listing (Italian duo Zero Assoluto, 15% of royalties) was priced at 14.5x trailing royalties for a 6.90% expected yield [F] [?]. Scale: 45,000+ investors, EUR17M+ in trades, EUR2.1M+ royalties distributed [F] [?].

Three caveats attach. The 10% IRR is the platform’s own weighted-average figure, including price performance with reinvestment assumed; independent verification is not available [F] [?]. The product is retail, fractional, and partially term-limited, not an institutional 100%-of-economic- rights acquisition. And ANote’s own practice shows how the market handles the selection problem: the platform targets songs averaging at least seven years old, on the view that royalty variability stabilizes 5–10 years after release [F] [?].

5.3 The hurdle arithmetic

Pricing arithmetic sets the first constraint. Perpetuity catalogue sales at 14x–20x annual royalties imply roughly 5–7% flat perpetuity yields [E] [?]. A 10-year claim on flat royalties discounted at 10% is worth about 6.1x annual royalties; a 5-year claim about 3.8x [E] [?]. The finite-term buyer therefore pays roughly one-quarter to two-fifths of perpetuity-sale pricing for a 100% income share, and the creator’s compensation for that discount is keeping the post-term tail plus all upside the investor’s activity creates [F/E] [?]. That trade only works for creators if the reversion value is real, which the streaming-era evidence supports for proven catalogues (catalogues older than 10 years showed revenue growth while younger ones were flat) [F] [?].

The second constraint is the investor return bar. The demonstrated clearing levels are: about 10% gross IRR at ANote (retail, fractional, partially term-limited); 8.5–9.2% valuer and takeover discount rates on diversified catalogues; 12–18% unlevered IRRs targeted by specialized royalty capital in pharma [F] [?]. A finite-term music vehicle needs to underwrite to roughly 10–12% gross IRR to be competitive with the closest existing product while staying below the bilateral specialty-finance bar [E] [?].

The third constraint is adverse selection, and it is the binding one. Sellers know their decay curves better than buyers, and sophisticated sellers will offer their fastest-decaying catalogues first [F] [?]. The investor’s exposure sits entirely in the highest-decay window, so underwriting must price the 5–10 year decay curve explicitly rather than extrapolating trailing royalties [E].

Table 7: Key observed facts on comparable structures and the finite-term hurdle.

#	Statement	Tag	Sources:
S1	Concord 2025 ABS: \$1.765B, A+/A2, 35% LTV, >3x oversubscribed, +185bp (vs +340bp in 2022); no modern-era music ABS default	[F]	
S2	Royalty Pharma: \$2B IG bonds (Sep 2025, Baa2); \$250M Zymeworks finite-term note (30% of royalties until repaid, full reversion)	[F]	
S3	ANote: catalogues priced to yield 6–16%/yr; platform-reported gross avg IRR $\sim 10\%$ (2020–2025, unverified, retail, reinvestment assumed)	[F]	
S4	ANote worked listing: 14.5x trailing royalties, 6.90% expected yield; 45,000+ investors; EUR17M+ trades	[F]	
S5	Perpetuity 14–20x $\rightarrow$ ~ 5 –7% flat yields; 10-yr claim at 10% discount $\approx 6.1x$; 5-yr $\approx 3.8x$	[E]	
S6	Institutional bar: $\sim 10\%$ ANote; 8.5–9.2% valuer/takeover discount rates; 12–18% pharma specialty; finite-term vehicle hurdle ~ 10 –12% gross	[F/E]	
S7	Adverse selection binding: sellers know decay curves; investor exposure sits in the highest-decay window	[F/E]	

research/comparable-structures/findings.md\par, structures.md.

5.4 Evidence table: comparable structures

6 Generalization across asset classes

The thesis starts in music but claims to generalize. The cross-asset evidence check returns a split verdict: the *structure* generalizes; the *returns* largely do not, and one asset class is a proven failure.

6.1 Where the evidence supports generalization

Film and television is the strongest non-music case. Miramax changed hands twice on observable economics: about \$600M net of cash in 2010 against about \$100M of annual net cash flow (about 6x), and an implied \$765M enterprise value in the 2019 ViacomCBS deal for 49% [F] [?]. Amazon’s 10-Q valued the MGM video library at \$3.4B of an \$8.5B deal [F] [?]. Decay is measured: Tier A titles decay about 4% per year in years 11–15, Tier D about 12.5%, and lenders prefer libraries past the steep early-decay phase [F] [?]. Finite-term participation is how the market already trades (term distribution and first-look deals) [F] [?].

Creator content libraries match the structure but not the returns. Spotter deployed \$940M across 735+ channels; Jellysmack earmarks \$750M and writes deals from \$50,000 to \$50,000,000 [F] [?]. The reported structure, a five-year license on existing-content earnings with rights reverting to the creator, is the closest existing analogue to the proposed 5–10 year thesis [F] [?]. No public portfolio yields, multiples, or loss rates were found, so return economics are unverified [F] [?].

Trademarks and merchandising match the structure: brand licensing is term-based with renewal options by default, rates are mature data (2–15% of wholesale, 8.5% average, minimum guarantees standard), and dormant-brand licensing is a demonstrated business (Authentic Brands, \$220M deployed buying bankrupt brands) [F] [?]. Deceased-icon likeness shows durable licensing (Monroe estate at about 6x revenue) [F] [?]. But standalone royalty-stream acquisitions are not observed; the market trades brands, not streams [F] [?]. Publishing shows one large observable transaction (Roald Dahl Story Company, about 18–19x revenue in 2021), no repeat market, no royalty funds [F] [?].

6.2 Where the evidence does not support generalization

Patents are the anti-thesis. The only scaled attempt at a patent investment vehicle lost money decisively: Intellectual Ventures’ funds returned –15.44% and –24.7% IRR over about ten years, 37 and 2 cents per dollar [F] [?]. Patents have a hard 20-year legal cliff, contestable validity, and litigation-driven cash flows [F] [?]. Finite terms fit the asset, but invalidation risk and the Intellectual Ventures record argue against the thesis here.

Software licensing, gaming IP, and educational content show no observed market in acquiring royalty streams: no software-license royalty-stream market exists [F]; gaming license fees are observable (\$150M/yr FIFA, \$300M/yr NFL) but sit on the cost side, and no one trades the licensor’s royalty stream [F]; educational content has platform-level deals but no content-library-only transactions, yields, or multiples [F] [?].

Table 8: Key observed facts on generalization beyond music.

#	Statement	Tag	
G1	Film/TV: Miramax ~\$600M net on ~\$100M cash flow (~6x); MGM library \$3.4B of \$8.5B; Tier A decay ~4%/yr (yrs 11–15), Tier D ~12.5%	[F]	
G2	Creator libraries: Spotter \$940M / 735+ channels; Jellysmack \$750M; 5-yr license with reversion is the closest structural analogue; returns unverified	[F]	
G3	Trademarks: 2–15% of wholesale, 8.5% avg; Monroe estate 6x; no standalone royalty-stream market	[F]	
G4	Publishing: Dahl 18–19x revenue (2021), no repeat market	[F]	Source:
G5	Patents: Intellectual Ventures –15.44% / –24.7% IRR, 37c / 2c per dollar; 20-yr legal cliff; litigation-driven cash flows	[F]	
G6	Software, gaming, education: no observed royalty-stream acquisition market	[F]	
G7	Cross-class pricing clusters 5–18x; finite-term structure is native in creator, brand, film distribution, likeness deals	[F]	

research/other-asset-classes/findings.md\par, asset-classes.md.

6.3 The cross-class pattern

Wherever long-lived rights transact as income-producing assets, two facts recur. First, pricing clusters at 5–18x current cash flow or revenue on mature back catalogs: Miramax about 6x, Monroe estate 6x, Dahl about 18–19x on a premium evergreen children’s catalogue [F] [?]. Second, the 5–10 year finite-term structure is not exotic: it is the native form in creator catalogues, brand licensing, film distribution rights, and living-person likeness deals [F] [?]. The thesis is a proven structure with proven pricing in content classes. It is a proven failure in patents, and unproven in software, gaming, and education.

6.4 Evidence table: cross-asset generalization

For the narrower-thesis question, the relevant point is narrow: film and television has observed 6x pricing on mature libraries, but those were perpetual library sales, not finite-term rights, and no finite-term deal-level economics were found in any asset class. The structure’s native existence elsewhere does not supply the pricing or return evidence the thesis needs.

7 Legal and structural feasibility

Legal information, not legal advice. The finite-term structure is legally feasible in all six jurisdictions examined, but the instrument differs by jurisdiction, and the binding constraints are collection control, pre-existing encumbrances, moral rights, equitable remuneration, and the US termination overhang [?]. What follows is the bottom line; the full analysis is in `research/legal-structural/legal.md`.

7.1 Jurisdiction verdicts

United States: feasible, diligence-heavy. Term-limited assignment or exclusive licence in signed writing [F] [?]. A new 5–10 year grant is not itself exposed to statutory termination during its term: the section 203 window on a 2026 grant opens no earlier than 2061 [F] [?]. For existing catalogues, the section 203/304 termination calendar is the dominant risk: grants from the late 1970s through the early 1990s are inside or approaching their windows, notices are being served, and the case law makes every catalogue a share-by-share exercise [F] [?]. The Duran Duran decision adds a cross-border wrinkle: an English court treated service of US termination notices as breach of English-law publishing agreements; the appeal outcome is unknown [F] [?].

United Kingdom: feasible, statutorily clean. Section 90(2)(b) of the CDPA expressly authorises assignment for part of the copyright term [F] [?], and there is no US-style termination right. The work is in perfection and security: register charges within 21 days, and obtain genuine control over collection accounts or the security will be characterised as floating under Spectrum Plus [F] [?].

France: feasible with formalistic drafting and a hard moral-rights ceiling. Each right must be separately identified with its scope, purpose, territory, and duration; moral rights are perpetual, inalienable, and imprescriptible [F] [?]. No waiver can cure a moral-rights objection to a sync placement, remix, or brand association the author opposes [F] [?].

Germany: feasible through rights of use, with the sharpest pricing risk. The grant must be an exclusive, time-limited right of use; sections 32–32a allow the author to demand further participation where remuneration proves disproportionately low, with no advance waiver permitted, and §32b applies the regime compulsorily where significant exploitation occurs in Germany even under a foreign choice of law [F] [?]. A fixed buyout for German exploitation is therefore re-openable; model a revenue share or a §36-compliant tariff [A/recommendation] [?].

Singapore and Malaysia: appear feasible on the statutory structure (Singapore Copyright Act 2021; Malaysia Copyright Act 1987 s. 27, with 10% withholding on royalties to non-residents), but primary texts, withholding mechanics, security registration, and insolvency treatment were not verified from authoritative sources [F/gap] [?]. Do not close on Singapore or Malaysian assets without that verification.

7.2 Principal return-destroying risks

Ranked by capacity to erase the investment rather than merely reduce it [?]:

1. *Defective chain of title.* Prior grants, untransferred co-writer shares, uncleared sam-

ples, or an undisclosed termination notice leave the investor paying for rights it does not own. US catalogues require share-by-share termination diligence [F].

2. *Collection never moves*. Legal ownership without society mandates, letters of direction, repertoire re-registration, and payer notices leaves the cash flowing to the seller. This is the most common way these transactions underperform [F].
3. *German equitable-remuneration reopening*. A fixed-price deal with significant German exploitation can be forced into further participation regardless of governing law [F].
4. *French moral-rights veto*. Inalienable rights can block the highest-value commercialization acts after the price is paid [F].
5. *Recharacterisation as a loan*. Guaranteed returns, creator recourse, repurchase rights, or commingled collections convert a purchase into a secured loan [F].
6. *Unperfected security*. Missed recordation or registration deadlines, or uncontrolled collection accounts that render the charge floating [F].
7. *Cross-border termination disputes* clouding title [F].
8. *Post-term boundary disputes* over sub-licences, derivatives, inventory, and pipeline royalties unless defined with rates and periods [F].
9. *Withholding leakage* across payer jurisdictions without treaty documentation (US 30%, UK 20%, Malaysia 10%) [F].
10. *Creator insolvency* without perfected protection [F].

The legal research also implies a minimum contractual package (20-item specification in `legal.md` §8): full work schedule, separate treatment of composition, master, neighbouring, performer, likeness, sync, and derivative rights, exclusive commercialization authority, controlled collection accounts and waterfall, data and audit rights, title representations, negative covenants, insolvency provisions including US §365(n) election language, a reversion schedule, post-term rules with rates and periods, and tax mechanics [F] [?].

The legal verdict is: the structure can be built everywhere examined, but the diligence and control costs are real, jurisdiction-specific, and unmodeled in the financial section. They cut against, not for, the thesis.

7.3 Evidence table: legal and structural

Table 9: Key observed facts on legal feasibility.

#	Statement	Tag
L1	Feasible in all six jurisdictions examined; instrument differs by jurisdiction; no reconveyance required at term end	[F]
L2	US: new 5–10 yr grant not exposed to statutory termination during term (§203 window opens ≥ 2061); existing-catalogue termination calendar is the dominant diligence risk	[F]
L3	UK: CDPA s. 90(2)(b) expressly permits part-term assignment; no US-style termination; 21-day charge registration	[F]
L4	France: moral rights perpetual, inalienable, imprescriptible; can veto sync/remix/brand acts post-closing	[F]
L5	Germany: §§32–32a reopening, no advance waiver; §32b compulsory where significant German exploitation; fixed buyout re-openable	[F]
L6	Singapore/Malaysia: appear feasible but primary texts, withholding, security, insolvency unverified	[F/gap]
L7	Ranked return-destroying risks: chain of title, collection failure, German reopening, moral-rights veto, recharacterisation, unperfected security	[F]

Source:

research/legal-structural/findings.md\par, legal.md. Legal information, not legal advice.

8 Failure cases

The failure record is the paper’s second disconfirming engine. Ten cases are documented from primary sources and reputable financial press, ranked by quantified loss [?].

8.1 Quantified losses

Hipgnosis valuation writedown. The Shot Tower independent review (March 2024) cut the portfolio’s fair value to a \$1.93B midpoint, 26.3% below the \$2.62B September 2023 valuation: a writedown of about \$690M [F] [?]. Operative NAV per share fell to \$1.17 from \$1.74 [F]. The fund had deployed roughly \$2.2B on 146 catalogues (65,413 songs) at peak-market multiples of 13.9–18.3x NPS [F]. Citrin Cooperman’s \$2.62B valuation and Shot Tower’s \$1.93B valuation, five months apart, measured the same songs [F] [?].

Hipgnosis shareholder returns. IPO investors at 100p exited at about 105p plus 22.9125p of dividends actually paid: about 127.9p on 100p over six years, roughly 4.2% annualized [E] [?]. Morningstar share-price total returns were –27.2% in 2022 and –12.4% in 2023 [F]. The continuation vote failed with 83.2% against in October 2023; the dividend was suspended to comply with bank covenants [F].

Hipgnosis leverage. A \$700M revolving credit facility; \$600M gross debt at March 2022 (25.4% of operative NAV), \$674M by late 2023; floating-rate interest of \$33.70M in FY23

[F] [?]. A 30%-of-NAV covenant was breached inadvertently in March 2021 and cured by repayment [F]. Free cash flow went to debt service instead of dividends [F].

Round Hill. IPO at \$1.00; sold to Concord at \$1.15 per share, an 11.5% discount to the \$1.30 per-share NAV, after the shares had fallen more than 31% from IPO [F] [?]. Total return about 26.8% over three years, roughly 8.4% annualized, below target [E].

“Blurred Lines”. Jury award \$7.4M (2015), reduced to about \$5.3M, plus a 50% running royalty on all future songwriter and publishing revenue, affirmed on appeal in 2018 [F] [?]. A permanent halving of one work’s income to its nominal owners.

Bowie Bonds. \$55M, 10-year, 7.9% (1997), rated A3 at issue, downgraded to Baa3 in March 2004 on lower than expected revenues as piracy displaced CD sales [F] [?]. Paid in full at maturity in 2007: no principal loss, but the investment-grade standing and the artist-bond product were destroyed.

Prince estate probate. Six years (2016–2022) of intestate administration on a \$156M estate; administrator-side costs of at least \$7.3M in a single year [F] [?]. *“Bitter Sweet Symphony.”* A 1997 sampling dispute diverted 100% of songwriting royalties on a major hit to ABKCO for 22 years [F] [?]. *Canada “pending lists.”* Class action settled at \$50.2M (2011) for 300,000+ works exploited without licences or payment [F] [?]. Total quantified losses documented: about \$690M in the Hipgnosis writedown, roughly \$50.2M in the Canada settlement, \$5.3M plus a 50% perpetual royalty in Blurred Lines, at least \$7.3M in one year of Prince estate administration, the Round Hill exit at an 11.5% discount to NAV, and the Bowie Bonds’ investment-grade rating [F] [?].

8.2 Dominant failure modes

Entry-multiple overpayment. Both listed funds bought at the top of the catalogue boom and exited below valuer fair value. Valuation was DCF-based, set by adviser-paid valuers, and reset downward when a new valuer applied different assumptions [F] [?].

Accrual-based revenue recognition. Hipgnosis booked expected Phonorecords III retroactive payments before the CRB determination was final; the October 2023 estimate cut forced an \$11.9M accrual reversal, about half of the half-year net-revenue decline, and contributed to the dividend suspension [F] [?].

Floating-rate leverage against a fixed-ish income stream. Debt at 25–30% of NAV converted the rate cycle into a dividend and covenant event [F] [?].

Governance conflicts. The investment adviser’s call option over the catalogues deterred third-party bids; the adviser stood on both sides of the rejected \$440M related-party sale [F] [?].

Passive income priced as active-management upside. Shot Tower found about 65% of Hipgnosis’s income came from passive streams, with control rights still held by third parties on parts of the portfolio [F] [?]. FY23 operating expenses (\$233.86M, including \$43.76M catalogue bonus provisions and \$33.70M loan interest) exceeded net revenue (\$147.23M) [F] [?]. The active-management premium embedded in entry multiples never reached shareholders.

Latent legal and title exposure. Infringement liability (Blurred Lines, Dark Horse), sampling clearance (Bitter Sweet Symphony’s 22-year diversion), legacy contract reinterpretation (Quincy Jones: \$9.4M jury award cut to \$2.5M on appeal), and intestacy freezes

(Prince) destroy or suspend cash flows without any change in the music’s popularity [F] [?]. These risks are binary and uncorrelated with commercial performance, and they resolve slowly. A 5–10 year term cannot absorb them.

Technology and regulatory shifts. The Bowie Bonds downgrade on piracy, and the six-year Phonorecords III rate litigation, show the income base can be repriced by forces outside the catalogue [F] [?].

Royalty-chain integrity. The Canada settlement and current allegations (Dupri’s \$18M suit against Sony Music, 2026; My Block Records’ \$1M+ suit over 113M streams with no statements, 2026) show underpayment and non-reporting are persistent [F] [?].

8.3 Adverse selection: evidence and the gap

For: an NBER working paper states incumbent labels hold private information about artists’ trajectories and that adverse selection inhibits catalogue trading; a WIPO study finds limited-term and reversion rights are priced as discounts and fragmented rights sell cheaper; Stoikov and Kosyuk (2022) find asking prices near median-cashflow multiples while best bids cluster near bottom-decile multiples; Shot Tower’s 2023 market report finds passive, non-controlled rights “finding less demand” while strategic buyers take control rights; Royalty Exchange data shows buyers pay about 20% more when they can see the artist and song, i.e. legibility commands a premium and opacity is discounted [F] [?].

Against: no published study directly tests whether sold catalogues underperform retained ones [F] [?]. The single most valuable piece of missing evidence for the adverse-selection question is a sold-versus-retained performance dataset, and the project does not have it [gap].

8.4 Evidence table: failure cases

Table 10: Key observed facts on failures and their underwriting implications.

#	Statement	Tag	
X1	Hipgnosis writedown \$2.62B to \$1.93B ($\sim$ \$690M); same songs valued 26.3% apart five months apart	[F]	
X2	Hipgnosis shareholders: $\sim$ 127.9p on 100p over six years ($\sim$ 4.2%/yr); continuation vote failed 83.2% against	[F/E]	
X3	Floating-rate debt 25–30% of NAV: \$33.70M interest FY23; covenant breach Mar 2021; dividend suspended	[F]	
X4	Accrual accounting: \$11.9M reversal of expected CRB income drove half the half-year net-revenue decline	[F]	Source:
X5	65% of income from passive streams; FY23 opex (\$233.86M) exceeded net revenue (\$147.23M)	[F]	
X6	Binary legal tails: Blurred Lines (\$5.3M + 50% running royalty); Bitter Sweet Symphony (22-yr diversion); Prince (6-yr freeze, \$7.3M/yr admin)	[F]	
X7	Bowie Bonds downgrade (A3 to Baa3) on regime change; paid in full but the product was destroyed	[F]	
X8	Adverse selection theoretically strong (NBER, WIPO, Stoikov–Kosyuk, Shot Tower); empirically untested (no sold-vs-retained dataset)	[F/gap]	

`research/failure-cases/findings.md\par, failures.md.`

9 Financial model, backtests, and the central test

This section runs the central test. The model is deterministic (no randomness), fully labeled, and reproduced from the model source and the input ledger in the models directory. Every table in this section is machine-generated from the result CSVs.

9.1 Structure modeled

The investor pays $P = \text{multiple} \times \text{year-1 net royalty cash flow}$ for 100% of the economic rights for T years ($T = 5, 7, 10$) [A, per task]. Terminal value is zero; rights revert to the creator [A, per task]. Revenue in year t is $\text{base} \times (1 + g)^t$, plus an optional commercialization uplift of $u \times \text{base}$ added in years 1–3 only: front-loaded, non-compounding, per the evidence that uplifts are one-off [A] [?]. Acquisition and legal costs are 3% of price at entry; annual opex is 3%, 5%, or 8% of that year’s revenue (central 5%) [A] [?]. Financing cases use 40% LTV, interest-only, bullet repayment at term end, at 6%, 8%, or 10% [A] [?]. Net IRR applies a 2% annual management fee and 20% carry over an 8% hurdle (single-deal European-style) [A] [?]. Taxes, inflation, collection lags, FX, and regulatory shocks are not modeled [A] [?].

Entry multiples tested: 3.8x (5-year claim on flat royalties at 10% discount; applying it to a 10-year right is an assumption with no market support) [F/A]; 5x (interpolation) [A]; 6.1x (10-year claim on flat royalties at 10% discount) [F]; 8x, 10x, 12x (8.3–12.5%

Table 11: Central test: gross IRR over a 10-year term, zero terminal value, +3pp commercialization uplift in years 1–3, 5% annual opex. Entry multiple by annual net royalty growth rate.

Entry multiple	−8%	−4%	−2%	0%	+2%	+4%	+8%	Source:
3.8x	11.4%	16.2%	18.6%	21.0%	23.4%	25.8%	30.6%	
5x	4.3%	8.8%	11.1%	13.4%	15.6%	17.9%	22.4%	
6.1x	−0.1%	4.3%	6.4%	8.6%	10.7%	12.9%	17.2%	
8x	−5.3%	−1.2%	0.8%	2.9%	4.9%	7.0%	11.1%	
10x	−9.2%	−5.2%	−3.3%	−1.3%	0.7%	2.6%	6.6%	
12x	−12.0%	−8.2%	−6.3%	−4.4%	−2.5%	−0.6%	3.2%	
16x	−16.1%	−12.5%	−10.7%	−8.8%	−7.0%	−5.2%	−1.6%	

models/results/grid_multiple_x_decay.csv. The 18–25% band is reached only in cells that rest on unsupported inputs; see Section 9.

year-1 cash yields; below observed market pricing) [A]; 16x (observed perpetuity pricing: Round Hill 16.2–16.3x NPS, Hipgnosis 15.3x peak / 13.9–18.3x acquisition range / 15.9x Shot Tower fair value; ANote observed 14.5x) [F] [?].

Revenue growth inputs: $g = -4\%$ (BEA decay) [F]; $g = 0\%$ (flat baseline) [F]; $g = -8\%$ (stress) [A]; $g = -2\%$ (mild decay) [A]; $g = +2\%$, $+4\%$ (sustained growth; the 2021–2023 fund-level growth was driven by one-off factors that do not compound) [A]; $g = +8\%$ (the 8.4%/yr a 16x buyer needs to break even in 10 years, rounded for the grid) [E] [?]. Commercialization uplift: +3pp is the best documented figure (Hipgnosis 2022 sync: +24.7% to \$19.4M; sync = 14.9% of \$130.2M PFAR, $\approx +3.0$ pp of total revenue) [F]; +5pp and +10pp have no empirical support and were rejected by the operating-alpha verdict [F] [?].

9.2 The central test: does 8–12% yield + 5–10pp uplift reach 18–25%?

An 8–12% cash yield is an 8.3x–12.5x entry multiple [E]. Table 11 gives gross IRR by multiple and decay at the best-documented uplift (+3pp).

Which cells reach the 18–25% band, and what do they require?

- At 3.8x: -2% (18.6%), 0% (21.0%), $+2\%$ (23.4%), $+4\%$ (25.8%), $+8\%$ (30.6%). The 3.8x multiple is the 5-year discount-implied price; it has no market support as pricing for a 10-year right [A] [?].
- At 5x: $+8\%$ growth (22.4%). Sustained $+8\%$ growth is unsupported [A].
- No cell at 6.1x or above reaches 18% at any supported growth rate.

A programmatic scan of all 245 scenarios confirms it: every cell with gross IRR in the 18–25% band sits at 3.8x (unsupported as 10-year pricing) or at 5x with $+4\%$ to $+8\%$ sustained growth (unsupported) [E] [?]. **No cell in the 18–25% band rests on fully supported inputs.** At observed market pricing (14.5–16x) with BEA decay and the documented +3pp uplift, gross IRR is negative at every growth rate the evidence supports [E].

Table 12: Sensitivity to commercialization uplift: gross IRR over 10 years at -4% annual decay, 5% opex. The uplift is additive to revenue in years 1–3 only and does not compound.

Entry multiple	0pp	+2pp	+3pp	+5pp	+10pp	Source:
3.8x	15.7%	16.0%	16.2%	16.5%	17.3%	
5x	8.5%	8.7%	8.8%	9.1%	9.7%	
6.1x	4.0%	4.2%	4.3%	4.4%	4.9%	
8x	-1.4%	-1.3%	-1.2%	-1.1%	-0.8%	
10x	-5.4%	-5.3%	-5.2%	-5.1%	-4.9%	
12x	-8.3%	-8.3%	-8.2%	-8.1%	-7.9%	
16x	-12.6%	-12.5%	-12.5%	-12.4%	-12.3%	
models/results/grid_multiple_x_uplift.csv.						

Table 13: Historical backtests. A uses the Hipgnosis portfolio’s actual 2021–2023 pro-forma revenue path with labeled assumptions for 2024–2026; B–D use evidence-anchored inputs. All: zero terminal value, 3% acquisition cost.

Backtest	Gross IRR	Net IRR	MOIC	Yr-1 yield	Payback	Recovered by term end
A: 2021 peak multiple	-26.8%	-33.0%	0.35x	6.5%	none	35%
B: ANote pricing	-11.2%	-18.3%	0.51x	6.1%	none	51%
C: disciplined 6.1x	4.3%	0.6%	1.23x	15.0%	yr 8	123%
D: disciplined, stressed	-0.7%	-5.4%	0.97x	13.9%	none	97%

Source: models/results/backtests.csv. Full input ledger in models/assumptions.md.

Inside the stated 8.3x–12.5x band with the rejected +10pp uplift and the unsupported +2% growth, the best cell (8x) reaches 5.4% gross / 2.1% net [E]. With supported inputs (8x, -4% decay, +3pp uplift) it is -1.2% gross / -5.6% net [E]. The closest the supported-parameter region gets to institutional hurdle rates: 6.1x (10-year discount-implied), 0% decay, +3pp uplift gives 8.6% gross / 5.5% net [E], below the 10–12% bar the comparable-structures research sets for a finite-term vehicle [E] [?], and far below 18–25%.

Two mechanics explain the failure. First, the uplift barely moves a 10-year IRR: raising it from the documented +3pp to the rejected +10pp adds 1.1pp of IRR at 3.8x, 0.5pp at 8x, and 0.2pp at 16x, because a three-year additive increment is small against a ten-year base [E] (Table 12). Second, the multiple dominates everything: each doubling of the entry multiple costs about 11–17pp of IRR at BEA decay, measured across the grid (3.8x to 8x: 17.4pp; 5x to 10x: 14.1pp; 6.1x to 12x: 12.5pp; 8x to 16x: 11.3pp) [E].

9.3 Backtests

Table 13 runs four historical backtests. All use zero terminal value and 3% acquisition cost.

Reading:

- A shows what peak-multiple entry does to a finite-term right with no terminal value: even on the actual 2021–2023 revenue path (which grew), a 5-year right bought at

Table 14: Term-length sensitivity: gross and net IRR at 6.1x (discount-implied 10-year pricing) and 16x (observed peak pricing), with -4% annual decay and the +3pp documented uplift.

Multiple	5-year term		7-year term		10-year term		Source:
	Gross IRR	Net IRR	Gross IRR	Net IRR	Gross IRR	Net IRR	
6.1x	-11.8%	-16.1%	-2.3%	-6.3%	4.3%	0.6%	
16x	-33.5%	-42.0%	-21.7%	-30.0%	-12.5%	-20.3%	

models/results/term_sensitivity.csv. Net IRR after 2% annual fee and 20% carry over an 8% hurdle.

Table 15: Levered equity MOIC, 40% LTV interest-only debt with bullet repayment at term end. 10-year term, -4% decay, +3pp uplift, 5% opex. Levered IRR is non-unique (zero or two roots) for these streams, so MOIC on equity is the reported metric.

Multiple	unlevered gross IRR	debt 6%	debt 8%	debt 10%	Source:
6.1x	4.3%	0.99x	0.87x	0.74x	
12x	-8.2%	0.01x	(0.12x)	(0.25x)	

models/results/grid_multiple_x_financing.csv. Parentheses denote negative equity MOIC (partial or total equity loss).

16x recovers 35% of its price [E]. The fund’s own $\sim 4\%$ /yr realized return depended entirely on a terminal sale value a finite-term structure does not have.

- **B:** at ANote’s observed 14.5x with BEA decay, a 10-year finite-term hold earns -11.2% gross [E]. ANote’s reported $\sim 10\%$ platform IRR includes reinvestment and price performance; it is not the return of a buy-and-hold finite-term claim.
- **C** is the best evidence-anchored case and it earns 4.3% gross / 0.6% net, with payback in year 8 of 10 [E]. Fees consume most of the gross return.
- **D:** one stress step on decay and opex takes even disciplined pricing below zero [E].

Backtest A uses labeled assumptions for 2023–2026 revenue; only 2021–2022 are documented PFAR figures [A] [?].

9.4 Sensitivities

Term length (Table 14): at 6.1x, -4% decay, +3pp uplift, gross IRR is -11.8% (5yr), -2.3% (7yr), 4.3% (10yr) [E]. Shorter terms cannot amortize the entry price; only the 10-year term gets above zero, and it needs 8 years to pay back.

Opex: moving 3% to 8% of revenue costs about 1.5pp of IRR at 3.8x and 0.7pp at 16x (10yr, -4% , +3pp uplift) [E]. *Uplift:* covered above; the lever is weak because it is front-loaded and non-compounding.

Financing (Table 15): 40% LTV at 6–10% against these assets is negative carry. At 6.1x, equity MOIC is 0.99x / 0.87x / 0.74x at 6% / 8% / 10% debt; at 12x it is 0.01x / negative / negative [E]. Bullet-repayment structures make levered IRR non-unique (zero or two mathematical roots in most cells), so MOIC on equity is the reported metric. Debt financing does not rescue the thesis; at every multiple above $\sim 5x$ it destroys equity.

Table 16: Adverse selection: acquired catalogues decay 3pp/yr faster than the population average ($-4\% \rightarrow -7\%$). 10-year term, +3pp uplift, 5% opex.

Multiple	Gross IRR		Δ (pp)	Net IRR		Source:
	base	adverse		base	adverse	
6.1x	4.3%	1.0%	-3.2	0.6%	-3.3%	
10x	-5.2%	-8.2%	-3.0	-10.4%	-14.6%	
16x	-12.5%	-15.2%	-2.7	-20.3%	-25.8%	

models/results/adverse_selection.csv. The 3pp loading is an assumption calibrated to the selection concern documented in research/failure-cases/findings.md.

Adverse selection (Table 16): acquired catalogues decaying 3pp/yr faster than the population average (-4% to -7% ; an assumption calibrated to the selection concern documented in the failure-cases research) [E/A]. The loading erases the thin positive return of the disciplined-pricing case entirely at the net level: 6.1x net goes from 0.6% to -3.3% [E].

9.5 Limitations

The model uses smooth geometric revenue paths. Observed royalty income is volatile across years and income types; a smooth curve understates income risk, and title-level dispersion is wide (Royalty Exchange 10-year assets: 10th percentile -59.9% , 90th percentile $+155.1\%$ total return) [F] [?]. No taxes, inflation, collection lags, FX, or regulatory shocks are modeled; the Phonorecords III cycle and the Bowie Bonds downgrade show the income base can be repriced by outside forces [F] [?]. Uplift is modeled as certain when applied; real uplift is uncertain and the evidence caps the documented figure at $\sim 3\text{pp}$ for one year [F] [?]. Litigation and title risk (Blurred Lines, Bitter Sweet Symphony, Prince probate) are binary tail events a 5–10 year term cannot absorb; they are not in the cash flows [F] [?]. IRR is undefined or non-unique for the bullet-debt levered streams; MOIC is used there instead. Gross IRR here is pre-tax and pre-fee unless stated.

9.6 Evidence table: the central test

Table 17: Key model results (all estimates from the deterministic model; inputs tagged).

#	Statement	Tag	
M1	No 18–25% cell rests on fully supported inputs; all such cells need 3.8x (unsupported as 10-yr pricing) or +4% to +8% sustained growth (unsupported)	[E/A]	
M2	Best supported case (6.1x, 0% decay, +3pp uplift): 8.6% gross / 5.5% net, below the 10–12% vehicle hurdle	[E]	
M3	Stated band at 8x with rejected +10pp and unsupported +2% growth: 5.4% gross / 2.1% net; with supported inputs (8x, –4%, +3pp): –1.2% / –5.6%	[E/A]	
M4	Uplift +3pp to +10pp adds 1.1pp (3.8x), 0.5pp (8x), 0.2pp (16x) of 10-yr IRR	[E]	Source:
M5	Each doubling of the multiple costs ~11–17pp of IRR at BEA decay	[E]	
M6	Backtests: A –26.8%/–33.0%; B –11.2%/–18.3%; C 4.3%/0.6% (payback yr 8); D –0.7%/–5.4% gross/net	[E]	
M7	40% LTV debt is negative carry at every multiple above ~5x; equity MOIC at 6.1x: 0.99x/0.87x/0.74x at 6%/8%/10%	[E]	
M8	Adverse-selection loading (–4% to –7%) erases the disciplined case at net level (0.6% to –3.3%)	[E/A]	
M9	5-year term at 6.1x: –11.8% gross; only the 10-year term gets above zero	[E]	
models/MODELS.md\par, models/results/*.csv, models/assumptions.md.			

10 Conclusion

10.1 Outcome: reject

The evidence does not support the stated thesis. Of the three outcomes, the paper returns **(3) reject**, and it rejects the narrower variant as well.

The stated thesis requires 18–25% gross IRRs from 8–12% underwritten cash yields plus 5–10pp of commercialization uplift, with no viral outcomes, no aggressive leverage, and no terminal value. Against the evidence:

1. No parameterization the evidence supports reaches 18%. The programmatic scan of 245 scenarios finds every 18–25% cell resting on either a 3.8x entry multiple (the 5-year discount-implied price, with no market support as 10-year pricing) or sustained +4% to +8% growth (unsupported; the observed 2021–2023 growth was one-off) [E].
2. The uplift half of the thesis is unsupported at the stated level: the best documented management-attributable increment is about 3pp for one year, and the 5–10pp assumption was rejected by the operating-alpha research [F]. Even if it were granted, raising uplift from +3pp to +10pp adds at most 1.1pp of 10-year IRR [E].

3. At observed market pricing (14.5–16x), gross IRR is negative at every growth rate the evidence supports [E]; the historical backtest at 16x recovers 35% of its price [E].
4. Debt does not rescue the structure: 40% LTV is negative carry above ~5x entry multiples [E].

The narrower thesis was considered honestly: disciplined sub-7x pricing in film and television or creator libraries, at 10-year terms, targeting high-single-digit net returns. It does not survive either:

1. The pricing it requires is not observed. The 6.1x figure is a discount-implied arithmetic value, not a market price; observed finite-term pricing (ANote) is about 14.5x. Film and television’s 6x observations were perpetual library sales, not finite-term rights, and no finite-term deal-level economics were found in any asset class [F].
2. At that theoretical pricing, the best supported case earns 8.6% gross / 5.5% net, below the 10–12% hurdle the comparable-structures research sets for a finite-term vehicle [E], with payback in year 7–8 of 10.
3. The thin return is fully erased by one adverse-selection step (net 0.6% to –3.3%) [E], by moving from the flat baseline to the BEA decay estimate (4.3% gross / 0.6% net) [E], and it sits before litigation, title, and collection risks that are binary, unmodeled, and capable of erasing the investment [F].
4. The creator-library structure is the closest analogue, but its return economics are entirely unverified, and patents stand as a proven failure of the same finite-term logic [F].

What the evidence does support is narrower and less ambitious than any version of the thesis: investment-grade securitization of large diversified catalogues earns bond-like returns at single-A pricing [F]; fractional retail platforms report ~10% gross IRRs with unverified figures and reinvestment assumptions [F]; and the finite-term structure is legally feasible in every jurisdiction examined [F]. None of these is the thesis. The thesis, as stated and as narrowed, is rejected.

10.2 What would change this verdict

Three pieces of evidence, none currently available, would reopen the question: a dataset comparing sold versus retained catalogue performance, quantifying adverse selection; verified portfolio-level yields from creator-library vehicles (Spotter, Jellysmack, or peers); and observed market pricing for 10-year grants of full economic rights at or below 7x in any asset class. Until then, the disciplined conclusion is the one the data gives.

References

1. `research/music-transactions/findings.md`; `transactions.csv` (50 sourced deals); `research/music-transactions/sources.md`.
2. `research/music-transactions/fund-economics.md`: Hipgnosis and Round Hill capital, operating results, and takeover outcomes.
3. `research/royalty-decay/findings.md`; `decay-data.csv`; `research/royalty-decay/sources.md`.
4. `research/operating-alpha/findings.md`; `uplift-evidence.csv`; `research/operating-alpha/sources.md`.
5. `research/comparable-structures/findings.md`; `research/comparable-structures/sources.md`.
6. `research/comparable-structures/structures.md`: seven-structure comparison with pricing, risk allocation, and observed outcomes.
7. `research/other-asset-classes/findings.md`; `asset-classes.md`; `research/other-asset-classes/sources.md`.
8. `research/legal-structural/findings.md`; `legal.md`; `research/legal-structural/sources.md` [S1]–[S39]. Legal information, not legal advice.
9. `research/failure-cases/findings.md`; `failures.md`; `research/failure-cases/sources.md`.
10. `models/MODELS.md`; `models/assumptions.md`; `models/model.py`; `models/results/*.csv`.
11. Shot Tower Capital / Billboard catalogue multiple series (8.6x in 2011 to 20.7x in 2021), via [?].
12. U.S. Bureau of Economic Analysis, Soloveichik, Working Paper 2013-8 (music originals depreciation), via [?].
13. Hipgnosis Songs Fund annual and interim reports (PFAR, revenue mix, valuation disclosures), via [?], [?].
14. Round Hill Music Royalty Fund annual reports and trading updates, via [?], [?].
15. ANote Music platform data (yields, IRR, listing example), platform- reported and unverified, via [?], [?].
16. Stoikov & Kosyuk (2022), Royalty Exchange auction data, via [?], [?].
17. IFPI Global Music Report 2024 (sync revenue), via [?].
18. Luminate year-end music data 2024; Spotify Loud & Clear 2024, via [?].